IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **05.05.2026** THROUGH VIDEO CONFERENCING

PRESENT: **HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)**
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

APPLICATION NUMBER	**:** CA(CAA)/87(CHE)/2025
PETITION NUMBER	**:** CP(CAA)/91/CHE/2025
NAME OF THE PETITIONER(S)	**:** IBUS Virtual Network Services Pvt Ltd
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**:** Sec 230-232 of CA, 2013

ORDER

Present: Ld. Counsel Shri. Surej K R for the Petitioners.

Vide separate order pronounced in the Open Court, scheme is approved.

File be consigned to records.

Sd/-

(VENKATARAMAN SUBRAMANIAM)
MEMBER (TECHNICAL)

Sd/-

(SANJIV JAIN)
MEMBER (JUDICIAL)

MG

Date: 05.05.2026

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/91(CHE)/2025

in

CA(CAA)/87(CHE)/2025

(Under Sections 230 to 232 of the Companies Act, 2013)

In the matter of Scheme of Amalgamation amongst Microsense Wireless Private Limited with IBUS Virtual Network Services Private Limited and their respective Shareholders and creditors.

Microsense Wireless Private Limited,
CIN: U72900TN2006PTC058847,
A Company incorporated
under the Companies Act,1956 having its registered office
at 36, Sardar Patel Road, Little Mount, Guindy,
Guindy Industrial Estate, Chennai 600032

...Petitioner Company No.1/Transferor Company

with

IBUS Virtual Network Services Private Limited
CIN: U64204TN2019PTC184523
A Company incorporated
under the Companies Act, 2013 having its registered office at
Rajiv Gandhi IT Expressway, Tharamani, Tidel Park,
Mambalam, Chennai, 600113

...Petitioner Company No.2/Transferee Company

And their respective shareholders and creditors

Order Pronounced on 05th May, 2026

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SHRI. SANJIV JAIN, MEMBER (JUDICIAL)
SHRI. VENKATRAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

Present:

For Petitioners : R. Inbaraju, Advocate

ORDER

1. This Petition viz., **CP(CAA)/91(CHE)/2025** has been filed by **Microsense Wireless Private Limited** (hereinafter "Petitioner Company No.1/ Transferor Company) and **IBUS Virtual Network Services Private Limited** (hereinafter Transferee Company/ Petitioner Company No.2) and their Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Petitioner Companies herein with their Shareholders. The Scheme is appended at **Annexure-13** of this petition.

2. **1st MOTION APPLICATION – IN BRIEF**

2.1. The Petitioner Companies had filed First Motion Application vide **CA(CAA)/87(CHE)/2025** seeking directions as follows:

	Equity Shareholders	Secured Creditors	Unsecured Loan Creditors	Unsecured Trade Creditors
PETITIONER COMPANY 1 /TRANSFEROR COMPANY (1)	To Dispense with the meeting	Not Applicable	Not Applicable	To Dispense with the Meeting
PETITIONER COMPANY 2 /TRANSFEROR COMPANY (2)	To Dispense with the meeting	Not Applicable	To dispense with meeting	To Conduct Meeting

2.2. Based on the application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide order dated 27.11.2025 dispensed with the meetings and directed the Applicants to file the second motion petition within 14 days from the date of the order.

3. **SCHEME IN BRIEF**

3.1. Transferor Company No.1 is a private limited company incorporated under the provisions of Companies Act, 1956 on 13.02.2006 with CIN No.: U72900TN2006PTC058847. The authorized issued subscribed and paid up capital of the Transferor Company as on 31.03.2025 as averred in the Petition are as follows:-

Particulars	Amount in Rs.
Authorised Share Capital	
20,00,000 Equity Shares of Rs.10/- each	2,00,00,000/-
Issued Subscribed and paid up share capital	
15,60,000 Equity Shares of Rs.10/- each	1,56,00,000/-

3.2. The Turnover of the Transferor Company is Rs.225.94 lakhs and the net worth is provided as Rs.159.52 Lakhs as on 31.03.2025.

3.3. The Transferor Company was incorporated for carrying on the business as stated below,

> *To carry on the business of Internet Services Provider which includes providing Wi-Fi and Wide Area Network Solutions/Connectivity, Electronic Mail Service, Internet, Facsimile Services, Web Sites Creations, Designing Selling Leasing and marketing of Web Sites/Products for in house an well for clients, Linking Web Servers to World Wide Web (www) through Satellite, Transferring, Downloading or Up Linking of Software, Commercial Information Voice and to, Usage of Integral Services Digital Network (ISDN), Asymmetric Digital Subscriber Line (ADSL), high speed V. Sat Network, Video Conferencing directly or through VSNL Satellite Network or any other Network whether within India and or elsewhere in the world.*

The detailed objects are delineated in the memorandum of association

3.4. **Transferee Company** a private limited company was originally incorporated under the provisions of the Companies Act, 2013 on 10.01.2019 with CIN: U64204KA2019PTC120246. Subsequently, pursuant to fresh certificate of incorporation, the registered office of the Transferee Company shifted from State of Karnataka to the State of Tamil Nadu with new CIN:U64204TN2019PTC184523. The authorized issued subscribed and paid up capital of the Transferee Company as on 31.03.2025 as averred in the Petition are as follows:-

Particulars	**Amount in Rs.**
Authorised Share Capital	
36,00,000 Equity Shares of Rs.1/- each	36,00,000/-
Issued, subscribed and paid up share capital	
36,00,000 Equity Shares of Rs.1/- each	36,00,000/-

3.5. The Turnover of the Transferor Company is Rs.1457.91 lakhs and the net worth is provided as Rs. -143 Lakhs as on 31.03.2025

3.6. The Transferee Company was incorporated for carrying on the business as stated below

To deploy, operate and maintain network infrastructure including but not limited to active and/or passive elements of hardware, equipment or other ancillaries for Data & Voice Line Services along

with all network-based Wi-Fi solution services using all bandwidth of permitted technologies in existence and/or those forthcoming.

The detailed objects are delineated in the memorandum of association.

4. **Rationale of the Scheme:**

4.1. Simplified management structure, leading to better administration and reduction in costs from more focused operation efforts, rationalisation, standardisation and simplification of business processes, and the elimination of duplication and rationalisation of administrative expenses;

4.2. Greater integration, financial strength and flexibility for the Transferee Company, which would result in maximising overall shareholder value, and will improve the financial position of the Transferee Company;

4.3. The amalgamation would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the available resources resulting in substantial reduction in statutory compliances;

4.4. Simplification of group structure by eliminating multiple companies resulting in better clarity for external stakeholders, especially shareholders.

5. This Tribunal vide order dated **18.12.2025** directed the Petitioner Companies to issue notice to the Statutory/ Regulatory Authorities viz. . (i) Regional Director ("**RD**") (Southern Region), Chennai (ii) RoC, Chennai, (iii) Income Tax Department ("**IT/ ITD**"), (iv) Official Liquidator ("**OL**"), as well as the paper publication to be made in "Business Standard- All India Edition"**,** English and "Makkal Kural", Tamil.

6. In compliance to the directions issued by the Tribunal, the Petitioner Companies filed affidavits of service before the Registry of this Tribunal. A perusal of the same discloses that the Petitioner Companies effected the paper publications as directed by the Tribunal in "Business Standard- All India Edition", English and "Makkal Kural", Tamil on 08.11.2025. It is also seen that notices on behalf of Petitioner Companies were also served to (i) Regional Director, Southern Region, Chennai, (ii) Registrar of Companies, Chennai (iii) Income Tax Department, (iv) TRAI. The proof of the same by way of affidavits have been filed. Pursuant to the service of notice of the petition, following statutory authorities have responded as follows:

7. **STATUTORY AUTHORITIES**

7.1. OFFICIAL LIQUIDATOR

7.1.1. The Official Liquidator, (hereinafter referred to as 'OL') has filed the Report dated 09.03.2026. It is stated that, they had appointed M/s. K Gopal Rao & Co, Chartered Accountants firm from the panel maintained by their office to verify the affairs of the Petitioner Companies. The Chartered Accountants have reviewed the books and records of the Transferor Companies for the last 5 financial years. i.e. F.Y. 2020-21, 2021-22, 2022-2023, 2023-2024 & 2024-2025. The observations made by the Official Liquidator are as below,

Para	**Observation of OL**
3(i)	**Record Date Undertaking:**

	Clause 13.1 Of the scheme specify that consideration would be payable on Effective Date. Hence, the scheme needs amendment to provide for fixing such record date mutually by the respective Directors of both the companies and to fix it after sanction of the scheme and before the effective date / dissolution date of the transferor company. In this regard, this Tribunal may direct the companies to amend the scheme to give effect as above or to submit an undertaking to the effect of fixing it immediately & mutually.
3(ii)	**Employee Protection Undertaking:** Clause 6.1 of the Scheme seeks to protect all staff and employees of the Transferor Company only if they are in service as on effective date, and hence, this Tribunal may direct to submit an undertaking to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (1.4.2025) as well except in the event of their resignation on their own before the Effective Date.
3(iii)	**Undertaking not to adopt auto modification of content of scheme, post its sanction, without prior consent of Tribunal:** Clause 4.2 of the Scheme provides for auto modification of content of the scheme, post its sanction by this Tribunal, it is submitted that such auto modification of the content of the

	scheme to be in compliance with Income Tax Law etc., without the previous specific approval / sanction of this Tribunal, is in violation of section 231(1)(b) of the Companies Act, 2013 as every modification / auto modification of the content of the Scheme requires approval of this Tribunal and scheme cannot contain auto modification of content on its own. Hence, this Tribunal may direct the companies to delete/modify the clause 4.2 of the scheme by way of amendment to the scheme proposed, so as to ensure that no such auto amendment/modification of the Scheme post its sanction by this Tribunal or to submit an undertaking to the effect that such auto modification of the content of the Scheme will not be operative automatically or be implemented without prior approval of this Tribunal.
3(iv)	**Notice to TRAI/DoT issued or not, to be confirmed:** That both the companies are engaged in the business of providing internet bandwidth and other telecom resources and hence notice to TRAI / DOT is required to be issued and proof of notice to TRAI / DOT is required to be furnished, with reference to clause 21.4 of the scheme.
4	The Official Liquidator is of the opinion that the affairs of the

	Transferor Company appear to have not been conducted in a manner prejudicial to the interest of its members or to public interest subject to representation at para 3 above.

7.1.2. Reply to the OL Observations

7.1.3. The Petitioner Companies have filed an affidavit dated 17.03.2026 and provided reply to the OL observations.

Relevant Para of OL	Reply to OL Observations
Para 3(i)	Clause 13.1 of the Scheme provides for issuance of equity shares as a consideration for the proposed Amalgamation between petitioner Companies to the Equity Shareholders of the Transferor Company holding fully paid-up equity shares in the Transferor Company and whose names in the Register of Members of the Transferor Company on the Effective Date. Further Clause 1.8 of the Scheme read with Clause 21 of the Scheme provides that the effective date means the last of dates on which the certified true copy of the order of the NCLT, sanctioning the Scheme is filed with the RoC by the Transferor Company and Transferee Company respectively

	or the day on which the last approvals as specified in the Clause 21 of the Scheme, are satisfied or received or obtained or the requirement is waived in accordance with the Scheme, as the case may be. It is stated that the Petitioner Companies shall make every endeavour to file the certified copy of the Order of this Tribunal approving the Scheme, in accordance with Section 232(5) of the Companies Act, 2013. The Petitioner Companies further undertake to comply with and fulfil the conditions specified in Clause 21 of the Scheme, to the extent applicable to freeze the Effective date enabling the Transferee Company to issue shares to the Equity Shareholders of the Transferor Company. An undertaking affidavit is annexed along with the reply affidavit.
Para 3(ii)	It is stated that there has been no retrenchment of any employee of the Transferor Company who were in service as on the Appointed date i.e., April 01, 2025 and till date. Petitioner Companies undertake that there shall be no retrenchment of any such employee except in the event of resignation by the employee on their own volition prior to the Effective Date. An Undertaking affidavit sworn by the

	Petitioner Companies is enclosed along with the reply affidavit.
Para 3(iii)	It is stated that though Clause 4.2 of the Scheme provides for modification of the Scheme to comply with applicable laws, but such modification shall not be operative, implemented or given effect to without obtaining specific prior approval of this Tribunal under Section 231 (1)(b) of the Companies Act, 2013. An Undertaking affidavit sworn by the Petitioner Companies is enclosed along with the reply affidavit as Annexure 4 and Annexure 5 respectively.
Para 3(iv)	It is stated that pursuant to the order dated 18.12.2025 read with notification dated 24.09.2018 amending the "Guidelines for Transfer/ Merger of various categories of Telecommunication service licenses/authorization under unified license (UL) on Compromises, Arrangements and amalgamation of the Companies" dated 20.02.2014, the Petitioner Companies herein had dispatched the Notice of Petition in Form CAA 3 through Speed post and through e-mail on 26.12.2025 and 29.12.2025 to the Department of Telecommunications, Ministry Of Communications IT and the Department of Telecommunications, Officer of the Controller of Communication Account. The same was

	confirmed in the form of an Affidavit dated 09.01.2026 and was filed before this Tribunal vide SR No. 177 dated 12th January 2026. The exact page numbers of the affidavit evidencing dispatching the notice are as follows:

Petitioner Company	Copy of the Notice	Speed Post Acknowledgment	Tracking report	Email Notice	Collectively Enclosed herewith as
Petitioner Company 1	In Page No. 27 to 34	In Page No. 35 (Sl No. 1 & 4)	In Page No. 39 & 40	In Page No. 51 to 53	Annexure 6
Petitioner Company 2	In Page No. 69 to 76	In Page No. 77 (Sl No. 6 & 7)	In Page No. 83 & 84	In Page No. 94 to 96	Annexure 7

7.2. REGIONAL DIRECTOR

7.2.1. The Regional Director (RD) has filed his report dated 03.02.2026.

Para	Observation of RD
12	As per point (vi) of independent auditor's report of the transferee company, the auditor was unable to comment in respect of one accounting software, in absence of an independent auditors system and organization controls report for the period from April 1, 2024 to September 30, 2024, covering the requirements of the audit trial at the database level. The company may clarify the same
13	In the absence of such auditor's report covering the audit trial

	requirement for the remaining period, the auditors were unable to comment on whether the audit trial feature of the said software was enabled and operated from October 1, 2024 till March 31, 2025 for all relevant transactions recorded in the software and whether there was any instance of the audit trail feature been tampered with. The company may clarify the same
14	It is observed from the balance sheet of the Transferor company as at 31.o3.2025 that there is a sharp increase in equity share capital from Rs.1 lakh to Rs.156 lakhs in one year. The company may provide details of PAS-3 filed.
15	The petitioner companies may be directed to undertake to comply with the provisions of Section 240 of the Companies Act, 2013 and provisions of Section 232(3)(i) of the Companies Act, 2013.
16	The Transferee Company may be directed to file amended MoA containing amendment to the Capital Clause for record purposes with the Registrar of Companies, with respect to increasing its authorised capital.

7.2.2. RESPONSE TO REGIONAL DIRECTOR'S REPORT

7.2.3. The Petitioner Company 1 has filed an affidavit dated 09.02.2026 responding to observations put forth by the RD in his report.

Relevant Para of RD	Reply to the RD's Observations
Para 12	With reference to the observation of the Registrar of Companies, Chennai, based on point (vi) of the Independent Auditor's Report of the Transferee Company, it is stated that the Board of Directors has provided the clarification for the same in "Para P" of the Board's report dated 08th August 2025 for financial year ended on 31st March 2025 by stating that "**The Company is in the process of complying with the requirement of maintaining back up of Books and Accounts and other relevant books and papers, on daily basis on server(s) physically not located in India. Currently, the Books of Accounts and other essential records are fully accessible, and the Company is diligently maintaining backups on a cloud server. However, they shall meet compliance by migrating to SAP S4Hana which will include backup in India".** The Transferee Company submits that compliance with the aforesaid requirements has been ensured upon the successful go-live of SAP S/4HANA Cloud on May 9, 2025. The observation raised is being mitigated, as the solution provides robust audit trail, logging, and daily backup mechanisms on server(s) physically located in India. Thus, it is confirmed that the

	company has duly complied with the Section 128 of the Companies Act, 2013 read with Rule 3(1) of the Companies (Accounts) Rules, 2014. Undertaking sworn on behalf of the Transferee Company confirming the mitigation of observation raised by the Statutory Auditor of the Transferee Company and compliance to proviso to rules 3(1) of the Companies (Accounts) rules, 2014 is annexed along with the reply affidavit.
Para 13	The Petitioner Company No. 2 states that it uses accounting software for maintaining its books of account for the year ended 31st March 2025, which has an in-built audit trail (edit log) feature at the application level. The said audit trail feature was enabled and operated effectively throughout the period from 1st October 2024 to 31st March 2025 for all relevant transactions recorded in the software. Further for financial year ended on 31st March 2025 the Board of Directors have affirmed the same in "Para P" of the Board's report dated 08th August 2025. A copy of the Board's report is enclosed herewith as ANNEXURE 3. It is stated that there were no instances of the audit trail feature being disabled, altered, or tampered with during the aforesaid period. An undertaking affidavit sworn on behalf of the Transferee Company is enclosed herewith as ANNEXURE 4

Para 14	The Board of Directors of the Transferor Company had approved the allotment of (Fifteen Lakhs Fifty Thousand) Equity Shares of Rs. 10/- (Rupees Ten) each to M/s. Microsense Private Limited being the holding Company at the time of the allotment via various right issue(s) and same was intimated to the Registrar of Companies, Chennai vide e-form PAS 3 and the details of the same are as follows:

Board Meeting date in which Allotment was approved	Number of Equity Shares Allotted of Rs. 10/- (Rupees Ten) each	Details of SRN	E-form PAS 3 enclosed as
18th December 2024	3,00,000	AB2199113 dated 18th December 2024	Annexure 5A
31st December 2024	10,00,000	AB2310832 dated 03rd January 2025	Annexure 5B
13th February 2025	2,50,000	AB2715242 dated 14th February 2025	Annexure 5C

Further on 20.08.2025 the holding company had transferred 15,59,999 to iBus Network and Infrastructure Private Limited and the Current Shareholding pattern as on the date of this affidavit is as follows:

<table>
<tr><td></td><td>
<table>
<tr><th>SL No.</th><th>Name of the Equity Shareholder</th><th>No. Of Equity Shares of Rs. 10/- each</th><th>Percentage (%)</th></tr>
<tr><td>1.</td><td>iBus Network and Infrastructure Private Limited</td><td>15,59,999</td><td>99.99%</td></tr>
<tr><td>2.</td><td>Ramarathinam Sellaratnam (Nominee on behalf of iBus Network and Infrastructure Private Limited)</td><td>1</td><td>0.01</td></tr>
<tr><td colspan="2">Total</td><td>15,60,000</td><td>100</td></tr>
</table>

The above shareholding has been certified by an independent chartered accountant and the certificate is annexed along with the Petition.
</td></tr>
<tr><td>Para 15</td><td>Petitioner Companies undertake to comply with the Section 240 of Companies Act, 2013. The liability in respect of offences committed under the Companies Act, 2013 by the officers in default, if any of the Transferor Company prior to its amalgamation shall continue after amalgamation.</td></tr>
<tr><td>Para 16</td><td>The Transferee Company undertakes to file the Amended Memorandum of Association containing the amended capital clause due to the Combination of Authorised Share Capital/ increase in Authorised Share Capital of the Transferee Company with the Registrar of Companies, Chennai.</td></tr>
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7.3. **INCOME TAX**

7.3.1. The department of Income Tax has filed a memo dated 22.01.2026 based on the letter dated 20.01.2026 from Office of Joint Commissioner of Income Tax, Corporate Circle 4(1), Chennai.

Para	Observation
3	This office conveys no objection to the scheme of amalgamation subject to the condition that the scheme of Amalgamation should not flout any provisions of Income Tax Act, 1961 and any rules under Income Tax Rule 1962 and subject to fulfilment of conditions specified in scheme of amalgamation. If any part of the scheme is found to be repugnant to the Income tax Act 1961 and Income Tax Rule 1962, the same is to be treated as void ab initio. The Department also requires that the transferee company iBus Virtual Network Services Private Limited shall discharge all its responsibilities and liabilities emanating in respect of the proceedings pending/completed/likely to arise in respect of Transferor Company.
4	The Petitioner companies will bring it to the notice of the department as and when the scheme is approved by the Tribunal. The continuation of the proceedings of assessment or recovery or any other statutory action will be subject to the provisions of the Income Tax Act and the assessee companies will not quote the approved scheme as a ground to oppose such

	continuation of proceedings. In the event of the failure of the assessee to notify the department of the approval of the scheme, the same will preclude the assesse companies from raising any technical grounds on the validity of the proceedings.
5	The refund of tax which has already been determined but not issued either to the transferor company/amalgamating company or to the amalgamated company will be issued in the name of respective companies only, as per the extant technical limitations of the system. The amalgamated company shall ensure that no technical glitches arise due to any name mismatch by changing the name of the account or closure of the bank accounts. The department is not liable to pay any interest due to the delay attributable to the assessee in informing such changes. The assessee will make all such claims in respect of grant of refund/interest on refund to the Income Tax Authorities only. The petitioners will not claim any right under this scheme in respect of calculation. of any period of delay attributable to the assessee while granting interest u/s 244A of the Act.
6	Any credit in respect of which tax at source was deducted/collected on inter- company transactions will be dealt with under the extant provisions of the Income Tax Act depending on the date of remittance of such TDS/TCS remitted into the government account.

7	The transferee/transferor company shall not transfer any of the assets as part of the scheme of the amalgamation without express approval of the assessing officer as per the provisions of section 281 of the Act.

7.3.2. Petitioner Companies filed a reply affidavit dated 09.02.2026 to the observations made by Income Tax Department.

Relevant para of observations	Reply
3	It is submitted that the proposed amalgamation falls within the ambit of Section 2(1B) of the Income-tax Act, 1961 ("IT Act") and the rules framed thereunder. It is declared that no part of the Scheme is inconsistent with the provisions of the IT Act and/or the Income-tax Rules, 1962 and furthermore if any part of the scheme is found to be repugnant or inconsistent with the Income Tax Act 1961 and/or Income Tax Rule 1962("Income Tax Laws"), the Income Tax laws shall prevail subject to the applicable judicial precedents. It is submitted that after the Scheme coming into effect and in accordance with the terms thereof, the entire undertakings of the Transferor Company shall be transferred and vested with

	the Transferee Company. Accordingly, any demand, proceedings, or tax liability that may arise in future in respect of the Transferor Company shall be duly discharged by the Transferee Company, in accordance with the applicable provisions of the Income Tax Act, 1961 and rules made thereunder. An Undertaking Affidavit to this effect, sworn by the Transferee Company, is enclosed herewith as Annexure 3.
4	The Petitioner companies undertake to file a copy of the approved scheme with its respective Income Tax Department upon its sanction by the Tribunal.
5	Petitioner Companies undertake to comply with the direction of the Income Tax Department in respect of issuance of refunds, updations of bank account details, and treatment of any interest under Section 244A of the IT Act.
6	Para 6 is factual and requires no comments from the Petitioner Companies.
7	It is submitted that, in terms of Section 47(vi) of the IT Act, any transfer of a capital asset in a Scheme of Amalgamation, by the amalgamating company to the amalgamated company, is not regarded as a "transfer" where the amalgamated company is an Indian company. Accordingly, in the present case, the transfer of assets from the Transferor Company to

	the Transferee Company, both being Indian companies, pursuant to the Scheme of Amalgamation, does not constitute a "transfer" under the IT Act. Consequently, the provisions of Section 281 of the IT Act are not attracted. Without prejudice to the above, it is submitted that Section 281 of the IT Act is intended to safeguard the interest of the Revenue in cases where assets are transferred with an intent to evade or defeat tax liability. In the present case, the Transferee Company has undertaken to assume and discharge all pending tax liabilities, if any, of the Transferor Company. Moreover, the transfer of assets is taking place strictly pursuant to the Scheme of Amalgamation, as and when sanctioned by the Tribunal. Hence, the concern under Section 281 does not arise.

8. ACCOUNTING TREATMENT

The Statutory Auditors of the Petitioner Companies have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the Rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013 Copy of the certificate is annexed as **Annexure-28 & 29.**

9. VALUATION REPORT

In the Valuation Report dated 28.10.2025 **(Annexure-27)** obtained from one Ramgopal Krishnamurthy, Registered Valuer with Registration number as IBBI/RV/11/2021/14382, the Valuer states that, in his opinion the exchange value is,

"10(ten) equity shares having face value of INR 1 (Indian Rupee One only) each of Transferee Company for every 1 (one) equity share having face value of INR 10(Indian Rupee Ten only) each in Transferor Company"

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. Regional Director (RD)

10.1.1. RD in his report has stated that as per point (vi) of independent auditor report of the transferee company, the auditor was unable to comment in respect of one accounting software, in absence of an independent auditor's system and organization controls report for the period from April 1, 2024 to September 30, 2024, covering the requirements of the audit trail at database level.

10.1.2. Petitioner Companies have filed reply affidavit dated 09.02.2026 and stated that for point (vi) of the Independent Auditor's Report of the Transferee Company, the Board of Directors had provided the clarification in Para P of the Board's report dated 08.08.2025 for financial year ended on 31.03.2025. Board Report provides that the Company is in the process of complying with the requirement of

maintaining back up of Books and Accounts and other relevant books and papers, on daily basis on servers physically not located in India. The Company is diligently maintaining books on a cloud server. Compliance shall be met by migrating to SAP S4Hana which will include backup in India. Transferee Company provides an undertaking confirming the mitigation of observation raised by the statutory auditor of the Transferee Company and compliance to proviso to Rule 3(1) of the Companies (Account) Rules, 2014.

10.1.2.1. This Tribunal observes that the independent auditor report of Transferee Company has commented in respect of audit trail at database level. The Petitioner Companies have provided clarification that the Company is diligently maintaining backups on a cloud server and shall meet compliance by migrating to SAP S4Hana which will include backup in India. Since Petitioner Company has provided an undertaking to comply with the Section 128 of the Companies Act, 2013 read with Rule 3(1) of the Companies (Accounts) Rules, 2014, mitigating the observation raised by the Statutory Auditor of the Transferee Company, this Tribunal holds that **affidavit provided by the Transferor Company 2 is sufficient and therefore the objection of RD stands sufficiently answered.**

10.1.3. Audit Trail requirement from October 1, 2024 till March 31, 2025

10.1.3.1. RD in his report has stated that the auditors were unable to comment on whether the audit trail feature of the said software

was enabled and operated from October 1, 2024 till March 31, 2025.

10.1.3.2. Petitioner Company 2 has provided an affidavit stating that it uses accounting software for maintaining its books of account for the year ended 31.03.2025 which has in-built audit trail feature.

10.1.3.3. Since the Petitioner Company 2 has provided an affidavit confirming the use of audit trail feature for the period Oct 1, 2024 to March 31, 2025, this Tribunal holds that the **affidavit provided by the Petitioner Company 2 is sufficient and therefore the observation of RD stands sufficiently answered.**

10.1.4. Increase in equity share capital from Rs. 1 Lakh to Rs. 156 lakhs

10.1.4.1. RD in his report has observed that the equity share capital of the Transferor Company increased sharply from Rs. 1 Lakh to Rs. 156 lakhs in one year. The Tribunal may direct the Company to provide details of PAS 3 filed.

10.1.4.2. Petitioner Company 1 in its affidavit has stated that the Board of directors approved allotment of 15,50,000 equity shares of Rs/10/-. Petitioner Company 1 had filed E form PAS and vide SRN: AB2199113 dated 18.12.2024, AB2310832 dated 03.01.2025 and AB2715242 dated 14.02.2025.

10.1.4.3. **This Tribunal holds that the details of E form PAS provided by the Petitioner Company 1 in the affidavit is sufficient and the observation of the RD is sufficiently answered.**

10.1.5. This Tribunal notices that the RD has not raised any other observation on the Scheme. RD has sought for undertaking from the Petitioner Companies for complying with provisions of Section 240 of Companies Act, 2013 and to file the amended MoA. The Petitioner Companies have filed an Affidavit on 09.02.2026 undertaking to comply with the observations of RD. **During the proceedings dated 25.03.2026, it was stated on behalf of RD that RD does not have any further objections.**

10.2. **Income Tax**

10.2.1. Not to flout any provisions of Income Tax Act, 1961

10.2.1.1. Income Tax authorities in para 3 of their report have stated that they don't have any objections to the Scheme subject to conditions that the Scheme does not flout any provisions of Income Tax Act, 1961 and relevant applicable rules and Transferee Company shall discharge all responsibilities and liabilities in respect of Transferor Company.

10.2.1.2. Petitioner Companies have filed an affidavit and undertaken that no part of Scheme is inconsistent with IT Act or IT Rules. Further, any demand, proceedings, or tax liability that may arise

in respect of Transferor Company shall be discharged by the Transferee Company in accordance with the applicable provisions.

10.2.1.3. **This Tribunal holds that the affidavit provided by the Petitioner Companies is sufficient. Therefore observation of Income Tax Authorities regarding not violating the provisions of Income Tax Act is sufficiently answered.**

10.2.2. **Approval of the Scheme to be notified to Income Tax Authorities**

10.2.2.1. Income Tax Authorities have stated that the Petitioner Companies shall bring it to the notice of the Department as and when the scheme is approved by the Tribunal. Failing to notify the department of the approval of the Scheme, will preclude the assessee companies from raising any technical grounds on the validity of the proceedings.

10.2.2.2. Petitioner Companies have filed an affidavit undertaking to file a copy of the Scheme upon sanction by the Tribunal. Further Petitioner Companies shall not rely upon sanctioned scheme as the ground to resist or oppose the continuation of proceedings.

10.2.2.3. **This Tribunal holds that the affidavit provided by the Petitioner Companies to file a copy of the Scheme before the Income Tax Authorities is sufficient. Therefore observations of Income Tax Authorities is sufficiently answered.**

10.2.3. Refund of Tax returns

10.2.3.1. Income Tax authorities have made an observation that the refund of tax already determined but not issued will be issued in the respective companies name only and Petitioner Company shall ensure that no technical glitches arise due to any name mismatch. Department will not be liable to pay any interest due to the delay attributable to the assesse in informing such changes.

10.2.3.2. Petitioner Companies in their affidavit have stated that they agree to comply with the directions of the Income Tax Department. Further Petitioner Companies confirms that no rights under the Scheme shall be claimed contrary to the position stated by the department.

10.2.3.3. **This Tribunal holds that the affidavit provided by the Petitioner Companies in regards to refund of tax directions is sufficient. Therefore observation of Income Tax Authorities stand sufficiently answered**

10.2.4. Not to transfer any of the assets as part of the scheme

10.2.4.1. Income Tax Authorities have stated that the Petitioner Companies shall not transfer any of the assets as part of the Scheme of amalgamation without express approval of the assessing officer as per the provisions of Section 281 of the Act.

10.2.4.2. Petitioner Companies in their reply have stated that in terms of Section 47(vi) of the IT Act, any transfer of a capital asset in a shceme of amalgamation is not regarded as a transfer. Hence, Section 281 of the IT Act is not attracted.

10.2.4.3. **This Tribunal observes that in accordance with Section 47(vi) of the IT Act, any transfer of assets as part of the Scheme of Amalgamation under Section 230-232 of Companies Act, 2013 will not amount to transfer. Consequently, applicability of Section 281 of the IT Act does not arise. This Tribunal, therefore, holds that the Income Tax Authorities cannot require the petitioners to obtain prior permission for transfer of any assets as part of the Scheme of Amalgamation.**

10.2.5.Further during the proceedings held on 08.04.2026, the Income Tax Authorities have stated that they have no further objection in view of the response provided by the Petitioner Companies

10.3. **Official Liquidator**

10.3.1. Notice to TRAI

10.3.1.1. Official Liquidator has stated that the Petitioner Companies main object relates to Telecommunication. Accordingly, notice to TRAI is required to be issued.

10.3.1.2. The Petitioners have filed a reply affidavit and stated that the Petitioner Companies in accordance with the Order dated

18.12.2025 of this Tribunal and relevant notifications of TRAI , had dispatched the notice of petition in Form CAA 3 through speed post and through email on 26.12.2025 and 29.12.2025 to Department of Telecommunications, Ministry of Communications & IT and Officer of the Controller of Communication Account.

10.3.1.3. **In view of affidavit provided by the Petitioner Companies providing the details of notice sent to TRAI and relevant authorities, this Tribunal holds that observations of OL regarding sending notice to TRAI stand sufficiently answered.**

10.3.2. Undertaking to fix record date mutually upon sanction of the Scheme:

10.3.2.1. Official Liquidator has stated that the Petitioner Companies shall provide an undertaking to fix record date mutually upon sanction of the Scheme.

10.3.2.2. The Petitioner Companies have stated that in terms of the Scheme, issuance of equity shares to shareholders of Transferor Company is on effective date. The Petitioner Companies undertake to to make every endeavour to comply with and fulfil the conditions specified in the Scheme and freeze the effective date and enable the Transferee Company to issue shares to the Equity shareholders of the Transferor Company.

10.3.2.3. **This Tribunal holds that the affidavit provided by the Petitioner Companies is sufficient. Therefore observations of OL regarding fixing fix record date stand sufficiently answered.**

10.3.3. Employee Protection Undertaking

10.3.3.1. Official Liquidator has stated that, the Scheme provides for protection of employees of the Petitioner Companies only if the employees are in service on effective.

10.3.3.2. Petitioner Companies have submitted an affidavit undertaking that there shall be no retrenchment of any employee who was on the rolls of the Transferor Companies as on the appointed date 01.04.2025 except where such employees have resigned voluntarily.

10.3.3.3. **This Tribunal holds that the affidavit provided by the Petitioner Companies is sufficient and therefore the objection of OL regarding Employee retrenchment stands sufficiently answered.**

10.3.4. Further during the proceedings held on 25.03.2026, the Official Liquidator has stated that he has no objection in view of the response provided by the Petitioner Companies.

10.3.5. As per the Report of the Chartered Accountant appointed by the OL, M/s. K Gopal Rao & Co, Chartered Accountant, the affairs of the Transferor Companies were not conducted in a manner prejudicial to

the interest of their members, creditors or public. The Statutory Auditors of the Petitioner Companies have certified that the accounting treatment specified in the Scheme is in accordance with the accounting principles laid down under Section 133 of the Companies Act.

10.3.6. The Official Liquidator has sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. **In this regard, this Tribunal directs the Transferor Companies to pay a sum of Rs. 40,000/- + GST (Rupees Forty Thousand + GST if applicable) to the Official Liquidator for the payment of fees to the Auditor who has investigated into the affairs of the Transferor Company.**

CONCLUSION

10.4. After analysing the Scheme in detail, considering the Petitioner Companies' undertaking for matters specified by the Statutory authorities, and on being satisfied that the stakeholders of the Petitioner Companies are fairly protected, this Tribunal is of the considered view that the scheme as contemplated between the petitioner companies seems to be prima facie beneficial to the Companies and will not be in any way detrimental to the interest of the shareholders or creditors of the Companies. Since all the requisite statutory compliances have been fulfilled, **this Tribunal sanctions the Scheme appended at "Page No. 237-272" of the Company Petition typeset filed in CP(CAA)/91(CHE)/2025 as well as the prayers made therein**.

10.5. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.6. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Transferor Company undertakings be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Company undertakings shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same shall become the liabilities and duties of the Transferee Company; and

(iii) That all proceedings now pending by or against the Transferor Company undertakings shall be continued by or against the Transferee Company; and

(iv) That all the services of all the employees of the Transferor Company employed in the Transferor undertakings shall stand transferred to the Transferee Company on the same terms and conditions at which these employees are engaged by the Transferor Company without any interruption of service as a result of the transfer; and

(v) That the Transferee Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(vi) That the Appointed date for the Scheme shall be 01.04.2025.

(vii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company undertakings shall be deemed to be transferred; and Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies registered with him on the file of Transferee

Company kept by him and the files relating to the said companies shall be consolidated accordingly.

(ix) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12**.** Accordingly, the Company Petition stands allowed on the afore-mentioned terms.

13. File be consigned to records.

Sd-	Sd-
VENKATARAMAN SUBRAMANIAM	**SANJIV JAIN**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**